

ACHELION CAPITAL

ARMS Backtest Performance Report

Architecture AB | 58/20/14/8 | ARMS v4.0

Period: 2024-01-01 to 2025-12-31 | 501 trading days | 26 regime changes

Generated: 2026-05-02 06:24 | CONFIDENTIAL

SCOPE: Market-driven engine only. Intelligence layer disabled. See Methodology & Scope page.

+104.3%	+100.3%	+48.9%	+55.3pp
ARMS Gross	ARMS Net (2%)	S&P 500	vs S&P Gap

Performance Summary

Metric	ARMS Gross	ARMS Net	S&P 500	QQQ	BTC
Cumulative Return	+104.3%	+100.3%	+48.9%	+55.6%	+96.7%
Annualized Return	+43.2%	+41.2%			
Annualized Volatility	24.5%				
Sharpe Ratio	1.59				
Max Drawdown	-21.1%				
2024 Return	+80.8%	+78.8%	+25.6%	+27.7%	+107.8%
2025 Return	+11.5%	+9.5%	+18.9%	+22.0%	-8.7%

Architecture & Costs

Initial Capital	\$500,000,000
Final NAV	\$1,021,309,919
Total Trades	779
PTRH Net Cost (Tail Hedge)	\$-57,645
PERM Income (Covered Calls)	\$5,978,875
LAEP Slippage (Execution Cost)	\$9,229,685
Avg Equity Allocation	51.9% (target 58%)
Avg Crypto Allocation	16.2% (target 20%)
Avg Defensive Allocation	9.8% (target 14%)
Avg Cash Allocation	22.0% (target 8%)

Regime Breakdown

PDS Status Breakdown

RISK_ON	281 days (56.1%)	NORMAL	331 days (66.1%)
WATCH	220 days (43.9%)	WARNING	79 days (15.8%)
NEUTRAL	0 days (0.0%)	DELEVERAGE_1	66 days (13.2%)
DEFENSIVE	0 days (0.0%)	DELEVERAGE_2	25 days (5.0%)
CRASH	0 days (0.0%)		

Portfolio Tickers & Position Statistics

Architecture AB book used in this replay: 12 equity names, BTC crypto sleeve, and the SGOV/SGOL/DBMF/STRC defensive sleeve. Equity full-risk targets below are derived from static MICS squared weighting inside the 58% equity sleeve; realized trade statistics come directly from the replay trade ledger.

Ticker	Role	MICS	Full Target	Target \$	Trades	Buy \$	Sell \$	Net Flow
TSLA	EV / Energy AI	8	6.21%	\$31.0M	78	\$272.1M	\$281.3M	-\$9.3M
NVDA	AI GPU	9	7.86%	\$39.3M	74	\$330.9M	\$352.5M	-\$21.6M
AMD	AI Compute	7	4.75%	\$23.8M	64	\$189.7M	\$181.6M	\$8.1M
PLTR	Defense AI	7	4.75%	\$23.8M	61	\$178.0M	\$231.6M	-\$53.5M
ALAB	CXL / PCIe	6	3.49%	\$17.5M	58	\$147.8M	\$180.7M	-\$32.9M
MU	HBM Memory	7	4.75%	\$23.8M	67	\$190.0M	\$215.6M	-\$25.6M
ANET	AI Networking	7	4.75%	\$23.8M	51	\$184.0M	\$180.5M	\$3.5M
AVGO	Custom ASIC	8	6.21%	\$31.0M	66	\$241.8M	\$253.8M	-\$12.0M
MRVL	Custom Silicon	7	4.75%	\$23.8M	62	\$198.9M	\$190.2M	\$8.7M
ARM	CPU IP	6	3.49%	\$17.5M	48	\$146.2M	\$138.4M	\$7.8M
ETN	Power Infra	6	3.49%	\$17.5M	47	\$124.8M	\$125.9M	-\$1.2M
VRT	Cooling / Power	6	3.49%	\$17.5M	58	\$119.7M	\$128.7M	-\$9.0M

Sleeves, Crypto, and Benchmarks

Ticker	Role	Target / Use	Period Return	Avg Weight	Trades	Turnover
BTC	Crypto sleeve	20% target / 2% stress floor	+96.7%	16.2%	43	\$4.60B
SGOV	T-bill reserve	3.0%	-	part of 14%	0	\$0
SGOL	Gold hedge	2.0%	-	part of 14%	2	\$525.4K
DBMF	Managed futures	5.0%	-	part of 14%	0	\$0
STRC	Structured credit	4.0%	-	part of 14%	0	\$0
SPY	Benchmark	S&P 500 comparator	+48.9%	-	0	\$0
QQQ	Benchmark	Nasdaq comparator	+55.6%	-	0	\$0

Net Flow = buy value minus sell/trim value during the replay period. It is a realized execution statistic, not final position value. The full target column shows the book's MICS-derived full-risk allocation before ARAS/PDS/ARES ceilings reduce exposure.

Methodology & Scope

Engine Modules Active in Daily Replay

Market-driven ARMS production modules fired on each trading day of the period. Decisions were made strictly from price, volatility, credit, and macro inputs available as-of date. No look-ahead. No discretionary overrides.

Module	Behavior
Macro Compass	L2 4-input composite (VIX, HY spread, PMI, 10Y) -> regime score
ARAS	5-state regime classifier with hysteresis -> equity ceiling
PDS (Drawdown Sentinel)	NAV/HWM monitor -> NORMAL/WARNING/DELEVERAGE_1/DELEVERAGE_2
FEM (Factor Exposure)	AI Capex factor concentration -> WATCH/ALERT thresholds
CDF (Conviction Decay)	Underperformance counter -> 45/90/135-day weight decay
AUP (Asymmetric Upside)	5-condition gate for directional add-ons
SLOF (Synthetic Leverage)	C10-only, RISK_ON/WATCH-only 1.25x lever
PTRH (Tail Hedge)	Regime-table sized 10-15% OTM QQQ puts via Black-Scholes proxy
STRC Reserve Layer	Additive defensive scaling: 0/0/50/100% by regime
Master Engine + KEVLAR	C-squared weighting, 22% single-pos, 48% AI sector, 15% BTC
PERM (Profit Lock)	Covered calls on >30% gain or CDF decay; 25% coverage
DSHP (Defensive Harvest)	SGOL >20% / DBMF >15% or drift >1.5pp -> SGOV
ARES (Re-entry)	4 gate conditions, 3 VARES tranches, 48h spacing
LAEP (Execution)	3-tier VIX-adjusted slippage: 8/20/40 bps
Tail Hedge Regime Table	Coverage % and STRC reserve % per regime state
Architecture AB Allocation	58/20/14/8 sleeve targets enforced
EDR + Crypto Kill-Chain	Deleveraging and crypto microstructure stress can force BTC target to 2%
CDM/Event Overlay	Market/event overlays logged from available replay feeds; external news archive disabled
MICS (Conviction Scoring)	Static portfolio snapshot scores (per April 2026 book)

Modules Intentionally Disabled (Intelligence Layer)

Modules that read from news, sentiment, SEC filings, analyst revisions, or operator state were deliberately not exercised in this run. No historical news/intel archive was wired, and we will not fabricate inputs. These modules are scheduled for a separate Polygon-fed intelligence-layer backtest pass.

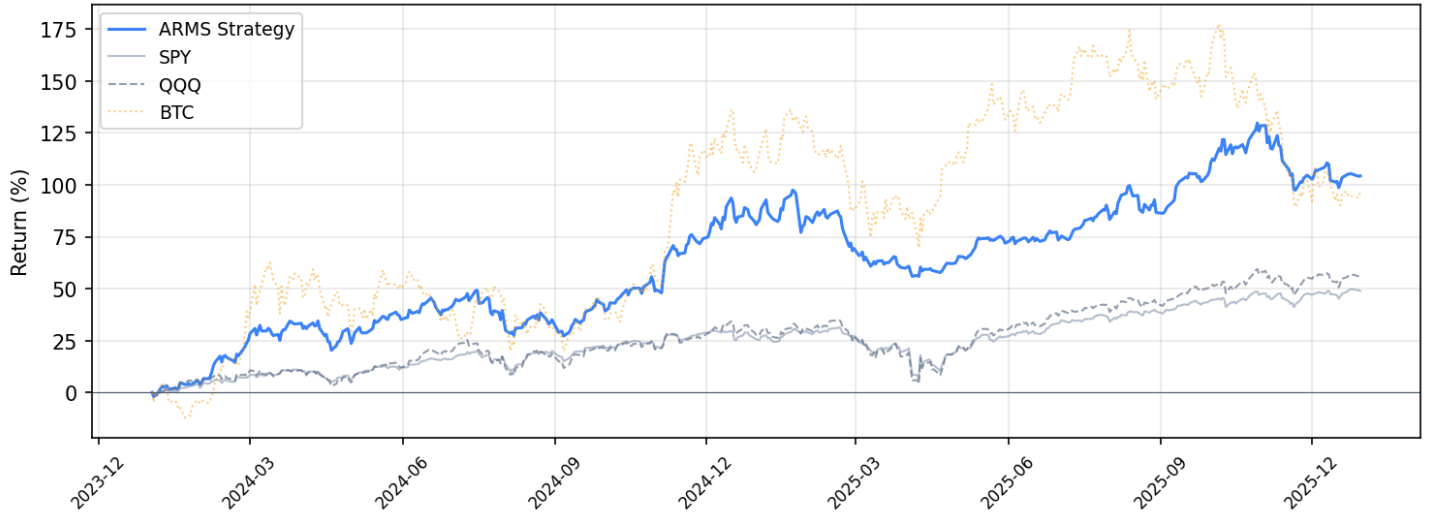
Module	Reason for Exclusion
MC-RSS / RSS bridge	News feed reactor
Sentinel bridge / SEC watchlist	Filings + macro event monitors
CDM (full)	Crisis Detection Module reading event feeds (VIX-proxy used instead)
PIM (Incapacitation)	Operator-state monitor (N/A in backtest)
TDC (Thesis Decay Calibration)	Needs analyst revision feed
Conviction Calibration	Dynamic MICS update from intel (static MICS used instead)
Systematic Scan	Universe scanner for new entries via catalysts
Thesis Retirement	Qualitative thesis-state monitor
Bridge Health / Paths	Connector telemetry (operational, not strategic)
Session Log Analytics	Meta-monitoring of operator sessions

Data Sources & Inputs

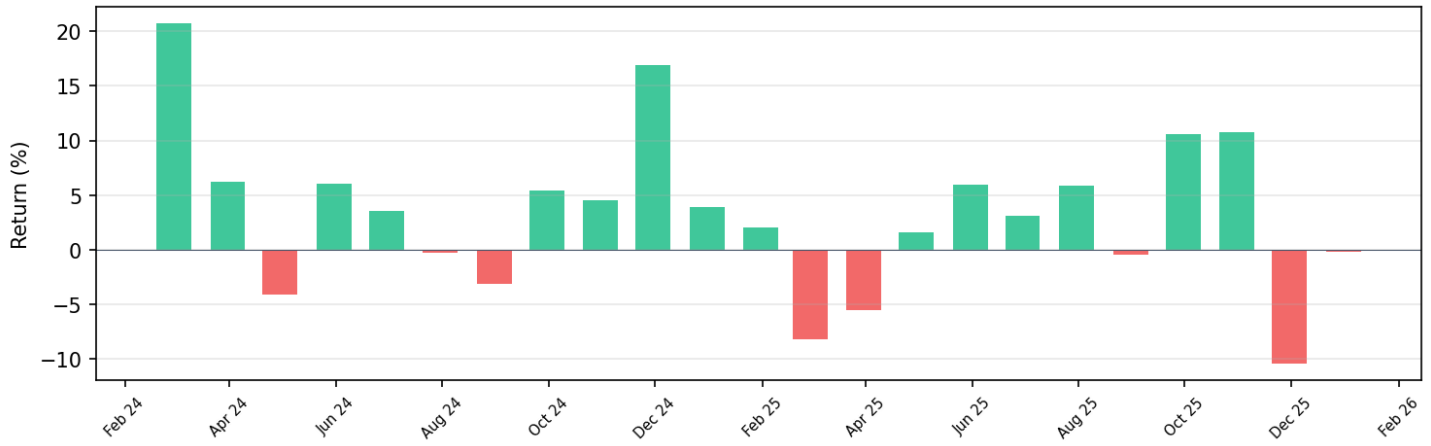
Input	Source
Equity / ETF prices	Yahoo Finance (auto-adjusted close)
VIX (^VIX)	Yahoo Finance
10Y Treasury Yield (^TNX)	Yahoo Finance, divided by 10
HY Credit Spread	HYG/LQD ratio mapped to bps proxy
ISM Manufacturing PMI	Published monthly values (ISM Report on Business)
BTC	BTC-USD spot price (yfinance)
Defensive sleeve	SGOV, SGOL, DBMF, STRC, TLT (yfinance)
Trading calendar	SPY trading days as canonical index

Performance Charts

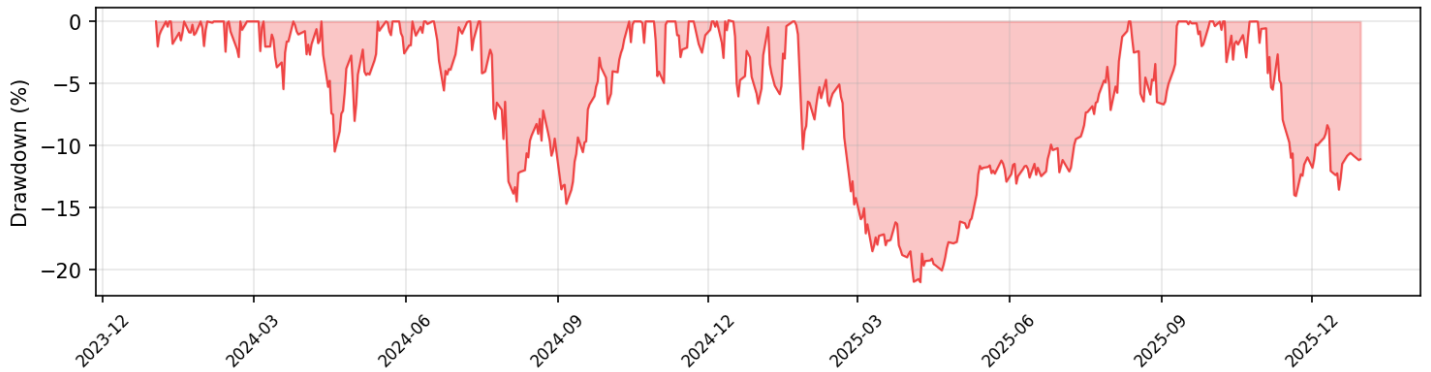
Cumulative Returns — ARMS vs Benchmarks



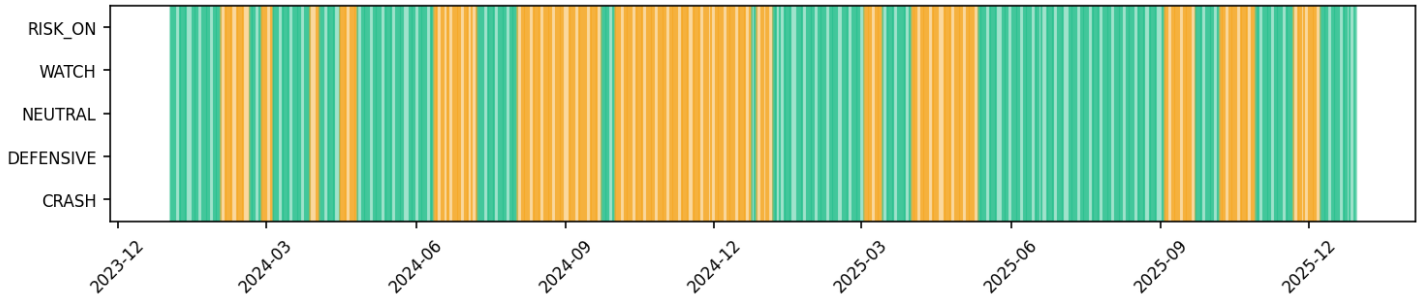
Monthly Returns



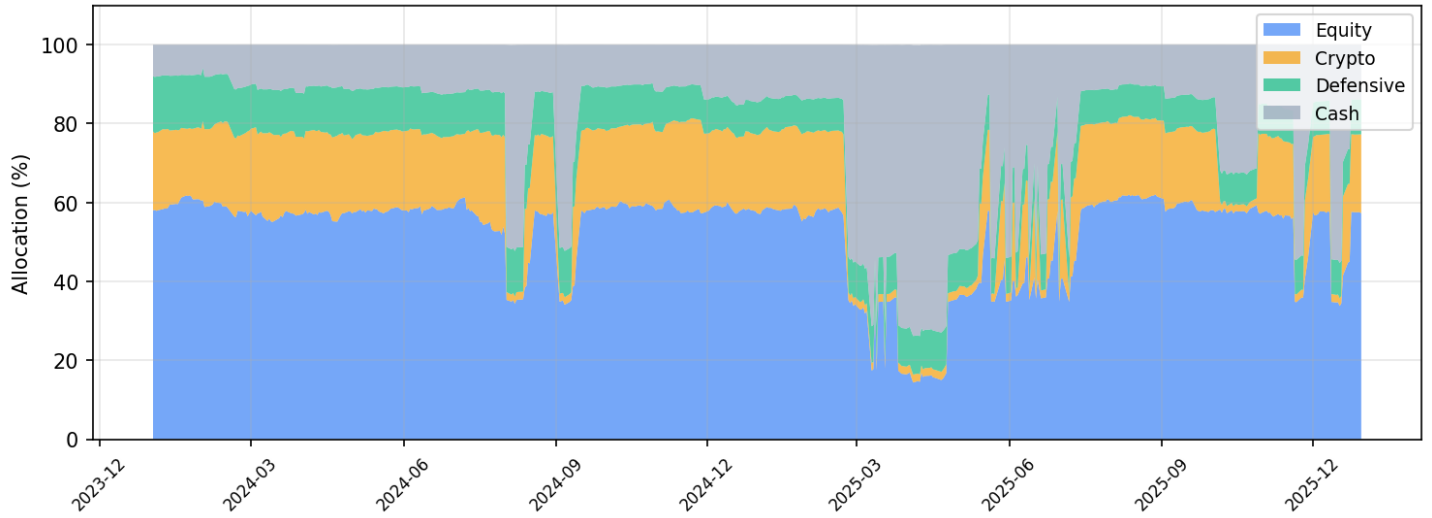
Drawdown from Peak



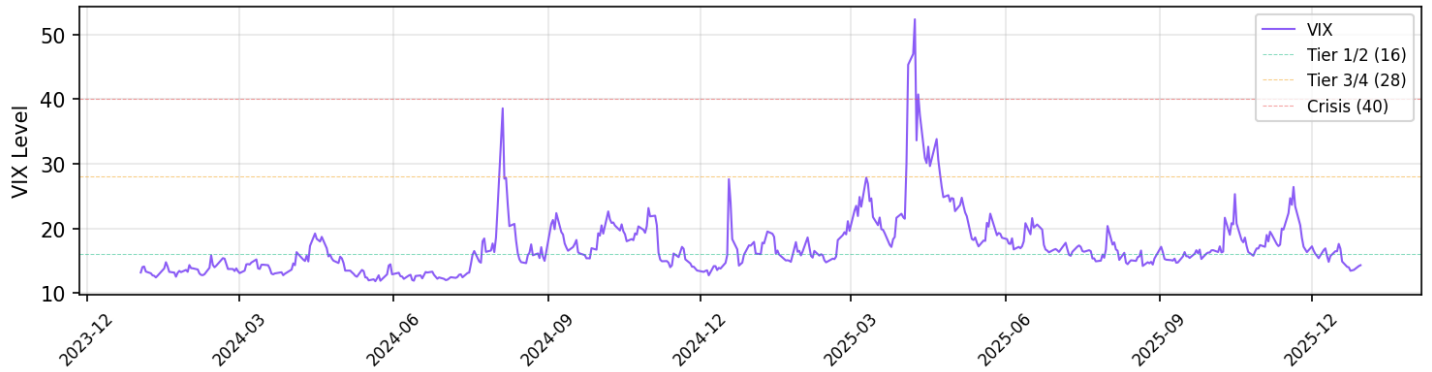
Regime Timeline



Portfolio Allocation Over Time



VIX & LAEP Execution Tiers



Monthly Detail

Month	ARMS G	ARMS N	QQQ	BTC	DEF%	SPY	Regime	Eq%	Cr%	Cash%
Jan 2024	+3.6%	+3.5%	+3.6%	-5.3%	14%	+2.2%	RISK_ON	60%	18%	8%
Feb 2024	+20.7%	+20.6%	+5.3%	+43.7%	11%	+5.2%	WATCH	57%	21%	10%
Mar 2024	+6.2%	+6.1%	+1.3%	+15.6%	11%	+3.3%	WATCH	57%	20%	12%
Apr 2024	-4.2%	-4.3%	-4.4%	-14.3%	12%	-4.0%	RISK_ON	58%	19%	11%
May 2024	+6.1%	+5.9%	+6.2%	+11.3%	11%	+5.1%	RISK_ON	58%	20%	11%
Jun 2024	+3.5%	+3.3%	+6.5%	-10.6%	11%	+3.5%	WATCH	59%	18%	13%
Jul 2024	-0.3%	-0.4%	-1.7%	+7.1%	11%	+1.2%	RISK_ON	54%	23%	12%
Aug 2024	-3.2%	-3.3%	+1.1%	-8.5%	11%	+2.3%	WATCH	58%	19%	12%
Sep 2024	+5.4%	+5.3%	+2.6%	+7.1%	11%	+2.1%	RISK_ON	59%	20%	11%
Oct 2024	+4.5%	+4.4%	-0.9%	+10.9%	10%	-0.9%	WATCH	58%	20%	12%
Nov 2024	+17.0%	+16.8%	+5.4%	+38.8%	9%	+6.0%	WATCH	57%	20%	14%
Dec 2024	+3.9%	+3.7%	+0.5%	-4.1%	8%	-2.4%	WATCH	57%	20%	15%
2024 TOTAL	+63.4%	+61.4%	+25.4%	+91.7%		+23.5%				
Jan 2025	+2.0%	+1.9%	+2.2%	+9.6%	8%	+2.7%	RISK_ON	57%	21%	14%
Feb 2025	-8.2%	-8.4%	-2.7%	-17.6%	9%	-1.3%	RISK_ON	34%	2%	55%
Mar 2025	-5.6%	-5.8%	-7.6%	-2.2%	10%	-5.6%	RISK_ON	16%	2%	72%
Apr 2025	+1.5%	+1.4%	+1.4%	+14.1%	10%	-0.9%	WATCH	35%	2%	53%
May 2025	+5.9%	+5.8%	+9.2%	+10.4%	9%	+6.3%	RISK_ON	35%	2%	54%
Jun 2025	+3.1%	+2.9%	+6.4%	+3.0%	9%	+5.1%	RISK_ON	58%	20%	13%
Jul 2025	+5.8%	+5.7%	+2.4%	+8.0%	8%	+2.3%	RISK_ON	61%	20%	11%
Aug 2025	-0.5%	-0.7%	+1.0%	-6.3%	9%	+2.1%	RISK_ON	62%	19%	11%
Sep 2025	+10.6%	+10.4%	+5.4%	+5.2%	8%	+3.6%	RISK_ON	58%	20%	14%
Oct 2025	+10.7%	+10.6%	+4.8%	-3.9%	8%	+2.4%	RISK_ON	57%	20%	15%
Nov 2025	-10.4%	-10.6%	-1.6%	-17.0%	9%	+0.2%	WATCH	46%	20%	25%
Dec 2025	-0.2%	-0.3%	+0.2%	-2.7%	9%	+0.8%	RISK_ON	57%	20%	14%
2025 TOTAL	+14.8%	+12.8%	+21.0%	+0.6%		+17.7%				

Monthly Forensic Breakdown

The pages that follow give one full page per month of the backtest. Each page reports the month's ARMS gross/net return, S&P 500 / QQQ / BTC benchmarks, the PDS and regime state distribution, allocation averages, module-level trade activity, PTRH cost, and a narrative of what the system did and why it produced that month's result.

January 2024

2024-01-02 to 2024-01-31 | 21 trading days | NAV \$500.0M -> \$518.2M

+3.64%	+2.16%	+3.57%	+1.48pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.64%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+3.48%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.16%	Avg Equity %	59.8%
QQQ	+3.57%	Avg Crypto %	18.7%
BTC	-5.28%	Avg Defensive %	13.7%
Gap vs SPY	+1.48pp	Avg Cash %	7.8%
Gap vs QQQ	+0.07pp	PTRH Cost (month)	\$4,209
Month Low DD	-2.02%	Max PTRH Value	\$10,505

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- OUTPERFORMED SPY by +1.48pp. Drivers: AI/tech book tracked QQQ (+3.6%) - broad-market beat; MICS book outperformed QQQ index.

February 2024

2024-02-01 to 2024-02-29 | 20 trading days | NAV \$518.2M -> \$625.7M

+20.75%	+5.22%	+5.28%	+15.53pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+20.75%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+20.58%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+5.22%	Avg Equity %	58.5%
QQQ	+5.28%	Avg Crypto %	20.3%
BTC	+43.72%	Avg Defensive %	12.4%
Gap vs SPY	+15.53pp	Avg Cash %	8.9%
Gap vs QQQ	+15.46pp	PTRH Cost (month)	\$9,531
Month Low DD	-2.88%	Max PTRH Value	\$17,846

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	30%	NORMAL	100%
WATCH	70%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	4	\$21,107,637	\$10,554
CDF	2	\$0	\$0
MASTER_ENGINE	8	\$64,059,559	\$32,030
PERM	4	\$219,399	\$0
TOTAL	18	\$85,386,594	\$42,584

What the System Did and Why

- Regime: dominant WATCH (70% of month). PDS dominant NORMAL.
- Activity: 18 trades, \$85.4M turnover, \$43K slippage (5.0 bps).
- OUTPERFORMED SPY by +15.53pp. Drivers: AI/tech book tracked QQQ (+5.3%) - broad-market beat; MICS book outperformed QQQ index.

March 2024

2024-03-01 to 2024-03-28 | 20 trading days | NAV \$625.7M -> \$664.7M

+6.23%	+3.27%	+1.27%	+2.96pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+6.23%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+6.06%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+3.27%	Avg Equity %	56.6%
QQQ	+1.27%	Avg Crypto %	21.0%
BTC	+15.60%	Avg Defensive %	11.2%
Gap vs SPY	+2.96pp	Avg Cash %	11.2%
Gap vs QQQ	+4.95pp	PTRH Cost (month)	\$0
Month Low DD	-5.46%	Max PTRH Value	\$2,844

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	85%	NORMAL	100%
WATCH	15%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	3	\$17,497,678	\$8,749
MASTER_ENGINE	5	\$33,771,865	\$16,886
PERM	6	\$316,935	\$0
TOTAL	14	\$51,586,477	\$25,635

What the System Did and Why

- Regime: dominant RISK_ON (85% of month). PDS dominant NORMAL.
- Activity: 14 trades, \$51.6M turnover, \$26K slippage (5.0 bps).
- OUTPERFORMED SPY by +2.96pp. Drivers: MICS book outperformed QQQ index.

April 2024

2024-04-01 to 2024-04-30 | 22 trading days | NAV \$664.7M -> \$637.1M

-4.15%	-4.03%	-4.37%	-0.12pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-4.15%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	-4.32%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-4.03%	Avg Equity %	57.1%
QQQ	-4.37%	Avg Crypto %	20.4%
BTC	-14.29%	Avg Defensive %	11.7%
Gap vs SPY	-0.12pp	Avg Cash %	10.8%
Gap vs QQQ	+0.22pp	PTRH Cost (month)	\$8,350
Month Low DD	-10.50%	Max PTRH Value	\$134,802

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	50%	NORMAL	91%
WATCH	50%	WARNING	9%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	3	\$12,975,112	\$8,108
CDF	1	\$0	\$0
MASTER_ENGINE	3	\$20,311,100	\$10,156
TOTAL	7	\$33,286,212	\$18,264

What the System Did and Why

- Regime: dominant WATCH (50% of month). PDS dominant NORMAL.
- PDS WARNING active 9% of month (advisory only - full ceiling retained).
- - 2024-04-19 00:00:00: PDS NORMAL -> WARNING
- - 2024-04-23 00:00:00: PDS WARNING -> NORMAL
- Activity: 7 trades, \$33.3M turnover, \$18K slippage (5.5 bps).
- In-line with SPY (gap -0.12pp).

May 2024

2024-05-01 to 2024-05-31 | 22 trading days | NAV \$637.1M -> \$675.6M

+6.05%	+5.06%	+6.15%	+1.00pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+6.05%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+5.89%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+5.06%	Avg Equity %	58.0%
QQQ	+6.15%	Avg Crypto %	19.6%
BTC	+11.30%	Avg Defensive %	11.4%
Gap vs SPY	+1.00pp	Avg Cash %	11.0%
Gap vs QQQ	-0.10pp	PTRH Cost (month)	\$3,647
Month Low DD	-8.04%	Max PTRH Value	\$42,181

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	96%
WATCH	0%	WARNING	4%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
PERM	6	\$345,225	\$0
TOTAL	6	\$345,225	\$0

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS WARNING active 4% of month (advisory only - full ceiling retained).
- - 2024-05-02 00:00:00: PDS WARNING -> NORMAL
- Activity: 6 trades, \$0.3M turnover, \$0K slippage (0.0 bps).
- OUTPERFORMED SPY by +1.00pp. Drivers: AI/tech book tracked QQQ (+6.2%) - broad-market beat.

June 2024

2024-06-03 to 2024-06-28 | 19 trading days | NAV \$675.6M -> \$699.3M

+3.50%	+3.53%	+6.47%	-0.03pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.50%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+3.34%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+3.53%	Avg Equity %	58.3%
QQQ	+6.47%	Avg Crypto %	19.2%
BTC	-10.63%	Avg Defensive %	10.8%
Gap vs SPY	-0.03pp	Avg Cash %	11.7%
Gap vs QQQ	-2.97pp	PTRH Cost (month)	\$0
Month Low DD	-5.57%	Max PTRH Value	\$2,009

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	37%	NORMAL	100%
WATCH	63%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	2	\$12,989,700	\$6,495
CDF	1	\$0	\$0
MASTER_ENGINE	4	\$36,373,855	\$18,187
PERM	8	\$490,286	\$0
TOTAL	15	\$49,853,842	\$24,682

What the System Did and Why

- Regime: dominant WATCH (63% of month). PDS dominant NORMAL.
- Activity: 15 trades, \$49.9M turnover, \$25K slippage (5.0 bps).
- In-line with SPY (gap -0.03pp).

July 2024

2024-07-01 to 2024-07-31 | 22 trading days | NAV \$699.3M -> \$697.4M

-0.27%	+1.21%	-1.68%	-1.48pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-0.27%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	-0.44%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+1.21%	Avg Equity %	56.2%
QQQ	-1.68%	Avg Crypto %	21.3%
BTC	+7.13%	Avg Defensive %	10.7%
Gap vs SPY	-1.48pp	Avg Cash %	11.8%
Gap vs QQQ	+1.40pp	PTRH Cost (month)	\$4,733
Month Low DD	-9.49%	Max PTRH Value	\$79,849

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	77%	NORMAL	96%
WATCH	23%	WARNING	4%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	2	\$8,542,823	\$4,271
CDF	1	\$0	\$0
MASTER_ENGINE	4	\$56,445,157	\$28,223
TOTAL	7	\$64,987,980	\$32,494

What the System Did and Why

- Regime: dominant RISK_ON (77% of month). PDS dominant NORMAL.
- PDS WARNING active 4% of month (advisory only - full ceiling retained).
- - 2024-07-30 00:00:00: PDS NORMAL -> WARNING
- - 2024-07-31 00:00:00: PDS WARNING -> NORMAL
- Activity: 7 trades, \$65.0M turnover, \$32K slippage (5.0 bps).
- UNDERPERFORMED SPY by -1.48pp. Drivers: AI/tech basket underperformed broad market this month (QQQ -1.7% vs SPY +1.2%) - 58% AI-concentrated equity sleeve was the wrong factor exposure.

August 2024

2024-08-01 to 2024-08-30 | 22 trading days | NAV \$697.4M -> \$675.2M

-3.18%	+2.34%	+1.10%	-5.51pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-3.18%	Avg Effective Ceiling	82.9%
ARMS Net (2% mgmt)	-3.34%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+2.34%	Avg Equity %	47.2%
QQQ	+1.10%	Avg Crypto %	14.1%
BTC	-8.51%	Avg Defensive %	11.2%
Gap vs SPY	-5.51pp	Avg Cash %	27.5%
Gap vs QQQ	-4.28pp	PTRH Cost (month)	\$12,192
Month Low DD	-14.54%	Max PTRH Value	\$501,626

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	4%	NORMAL	9%
WATCH	96%	WARNING	59%
NEUTRAL	0%	DELEVERAGE_1	32%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	3	\$13,479,545	\$13,480
CDF	4	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$141,644,856	\$212,467
MASTER_ENGINE	20	\$241,471,020	\$180,974
PDS_KILL_CHAIN	12	\$111,603,783	\$167,406
PERM	5	\$340,350	\$0
TOTAL	45	\$508,539,555	\$574,326

What the System Did and Why

- Regime: dominant WATCH (96% of month). PDS dominant WARNING.
- PDS DELEVERAGE_1 active 32% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 83%.
- Avg equity exposure 47% (vs 58% target) - system was de-risked, holding \$27% in cash/T-bills.
- - 2024-08-02 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2024-08-13 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2024-08-21 00:00:00: PDS WARNING -> NORMAL
- - 2024-08-22 00:00:00: PDS NORMAL -> WARNING
- - 2024-08-23 00:00:00: PDS WARNING -> NORMAL
- - 2024-08-26 00:00:00: PDS NORMAL -> WARNING
- Activity: 45 trades, \$508.5M turnover, \$574K slippage (11.3 bps).
- UNDERPERFORMED SPY by -5.51pp. Drivers: under-invested (47% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies; execution slippage (\$574K).

September 2024

2024-09-03 to 2024-09-30 | 20 trading days | NAV \$675.2M -> \$711.9M

+5.43%	+2.10%	+2.62%	+3.33pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+5.43%	Avg Effective Ceiling	84.2%
ARMS Net (2% mgmt)	+5.26%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+2.10%	Avg Equity %	48.6%
QQQ	+2.62%	Avg Crypto %	14.8%
BTC	+7.12%	Avg Defensive %	11.2%
Gap vs SPY	+3.33pp	Avg Cash %	25.4%
Gap vs QQQ	+2.81pp	PTRH Cost (month)	\$19,967
Month Low DD	-14.73%	Max PTRH Value	\$136,279

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	30%	NORMAL	40%
WATCH	70%	WARNING	30%
NEUTRAL	0%	DELEVERAGE_1	30%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	4	\$15,626,598	\$15,627
CDF	12	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$113,410,588	\$113,411
MASTER_ENGINE	23	\$252,155,061	\$249,181
PDS_KILL_CHAIN	12	\$137,958,464	\$137,958
PERM	3	\$254,306	\$0
TOTAL	55	\$519,405,018	\$516,177

What the System Did and Why

- Regime: dominant WATCH (70% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 30% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 84%.
- Avg equity exposure 49% (vs 58% target) - system was de-risked, holding \$25% in cash/T-bills.
- - 2024-09-11 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2024-09-19 00:00:00: PDS WARNING -> NORMAL
- Activity: 55 trades, \$519.4M turnover, \$516K slippage (9.9 bps).
- OUTPERFORMED SPY by +3.33pp. Drivers: PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+2.6%) - broad-market beat.

October 2024

2024-10-01 to 2024-10-31 | 23 trading days | NAV \$711.9M -> \$744.2M

+4.54%	-0.89%	-0.86%	+5.43pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+4.54%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+4.37%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-0.89%	Avg Equity %	59.1%
QQQ	-0.86%	Avg Crypto %	20.2%
BTC	+10.87%	Avg Defensive %	10.3%
Gap vs SPY	+5.43pp	Avg Cash %	10.4%
Gap vs QQQ	+5.40pp	PTRH Cost (month)	\$0
Month Low DD	-6.67%	Max PTRH Value	\$68,982

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	0%	NORMAL	100%
WATCH	100%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	5	\$0	\$0
MASTER_ENGINE	3	\$20,654,006	\$20,654
PERM	4	\$512,102	\$0
TOTAL	12	\$21,166,108	\$20,654

What the System Did and Why

- Regime: dominant WATCH (100% of month). PDS dominant NORMAL.
- Activity: 12 trades, \$21.2M turnover, \$21K slippage (9.8 bps).
- OUTPERFORMED SPY by +5.43pp. Drivers: AI/tech book tracked QQQ (+0.9%) - broad-market beat; MICS book outperformed QQQ index.

November 2024

2024-11-01 to 2024-11-29 | 20 trading days | NAV \$744.2M -> \$870.4M

+16.96%	+5.96%	+5.35%	+10.99pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+16.96%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+16.79%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+5.96%	Avg Equity %	58.4%
QQQ	+5.35%	Avg Crypto %	21.8%
BTC	+38.80%	Avg Defensive %	9.0%
Gap vs SPY	+10.99pp	Avg Cash %	10.8%
Gap vs QQQ	+11.60pp	PTRH Cost (month)	\$13,371
Month Low DD	-4.97%	Max PTRH Value	\$48,673

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	0%	NORMAL	100%
WATCH	100%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	1	\$32,515,393	\$16,258
TOTAL	1	\$32,515,393	\$16,258

What the System Did and Why

- Regime: dominant WATCH (100% of month). PDS dominant NORMAL.
- Activity: 1 trades, \$32.5M turnover, \$16K slippage (5.0 bps).
- OUTPERFORMED SPY by +10.99pp. Drivers: MICS book outperformed QQQ index.

December 2024

2024-12-02 to 2024-12-31 | 21 trading days | NAV \$870.4M -> \$904.0M

+3.87%	-2.41%	+0.45%	+6.27pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.87%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+3.70%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-2.41%	Avg Equity %	58.4%
QQQ	+0.45%	Avg Crypto %	19.4%
BTC	-4.14%	Avg Defensive %	8.2%
Gap vs SPY	+6.27pp	Avg Cash %	14.0%
Gap vs QQQ	+3.41pp	PTRH Cost (month)	\$36,429
Month Low DD	-6.64%	Max PTRH Value	\$49,106

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	10%	NORMAL	100%
WATCH	90%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	1	\$7,092,816	\$3,546
MASTER_ENGINE	13	\$161,925,828	\$80,963
PERM	9	\$862,701	\$0
TOTAL	23	\$169,881,345	\$84,509

What the System Did and Why

- Regime: dominant WATCH (90% of month). PDS dominant NORMAL.
- Activity: 23 trades, \$169.9M turnover, \$85K slippage (5.0 bps).
- OUTPERFORMED SPY by +6.27pp. Drivers: AI/tech book tracked QQQ (+0.5%) - broad-market beat; MICS book outperformed QQQ index.

January 2025

2025-01-02 to 2025-01-31 | 20 trading days | NAV \$904.0M -> \$922.4M

+2.03%	+2.69%	+2.16%	-0.65pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+2.03%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+1.87%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.69%	Avg Equity %	57.8%
QQQ	+2.16%	Avg Crypto %	20.6%
BTC	+9.61%	Avg Defensive %	8.1%
Gap vs SPY	-0.65pp	Avg Cash %	13.5%
Gap vs QQQ	-0.13pp	PTRH Cost (month)	\$0
Month Low DD	-10.31%	Max PTRH Value	\$68,573

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	90%	NORMAL	85%
WATCH	10%	WARNING	15%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	1	\$6,575,764	\$6,576
CDF	3	\$0	\$0
PERM	8	\$736,187	\$0
TOTAL	12	\$7,311,951	\$6,576

What the System Did and Why

- Regime: dominant RISK_ON (90% of month). PDS dominant NORMAL.
- PDS WARNING active 15% of month (advisory only - full ceiling retained).
- - 2025-01-27 00:00:00: PDS NORMAL -> WARNING
- - 2025-01-30 00:00:00: PDS WARNING -> NORMAL
- Activity: 12 trades, \$7.3M turnover, \$7K slippage (9.0 bps).
- UNDERPERFORMED SPY by -0.65pp. Drivers: AI book beta to QQQ underperformed SPY’s broad diversification (QQQ +2.2% vs SPY +2.7%).

February 2025

2025-02-03 to 2025-02-28 | 19 trading days | NAV \$922.4M -> \$846.5M

-8.23%	-1.27%	-2.70%	-6.96pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-8.23%	Avg Effective Ceiling	89.5%
ARMS Net (2% mgmt)	-8.40%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	-1.27%	Avg Equity %	51.7%
QQQ	-2.70%	Avg Crypto %	15.4%
BTC	-17.61%	Avg Defensive %	8.5%
Gap vs SPY	-6.96pp	Avg Cash %	24.4%
Gap vs QQQ	-5.53pp	PTRH Cost (month)	\$15,670
Month Low DD	-14.78%	Max PTRH Value	\$189,712

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	68%
WATCH	0%	WARNING	5%
NEUTRAL	0%	DELEVERAGE_1	26%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	2	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$157,890,675	\$157,891
PDS_KILL_CHAIN	11	\$180,931,655	\$180,932
TOTAL	14	\$338,822,330	\$338,822

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 26% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 89%.
- - 2025-02-21 00:00:00: PDS NORMAL -> WARNING
- - 2025-02-24 00:00:00: PDS WARNING -> DELEVERAGE_1
- Activity: 14 trades, \$338.8M turnover, \$339K slippage (10.0 bps).
- UNDERPERFORMED SPY by -6.96pp. Drivers: execution slippage (\$339K).

March 2025

2025-03-03 to 2025-03-31 | 21 trading days | NAV \$846.5M -> \$799.1M

-5.59%	-5.57%	-7.59%	-0.02pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-5.59%	Avg Effective Ceiling	48.6%
ARMS Net (2% mgmt)	-5.76%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-5.57%	Avg Equity %	27.7%
QQQ	-7.59%	Avg Crypto %	2.0%
BTC	-2.16%	Avg Defensive %	9.4%
Gap vs SPY	-0.02pp	Avg Cash %	60.9%
Gap vs QQQ	+1.99pp	PTRH Cost (month)	\$-349,806
Month Low DD	-19.04%	Max PTRH Value	\$530,057

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	57%	NORMAL	0%
WATCH	43%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	62%
DEFENSIVE	0%	DELEVERAGE_2	38%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	36	\$406,060,570	\$472,933
CDF	9	\$0	\$0
PDS_KILL_CHAIN	47	\$517,223,612	\$640,335
PERM	1	\$40,301	\$0
TOTAL	93	\$923,324,483	\$1,113,268

What the System Did and Why

- Regime: dominant RISK_ON (57% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_2 active 38% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 49%, minimum 30%.
- Avg equity exposure 28% (vs 58% target) - system was de-risked, holding \$61% in cash/T-bills.
- - 2025-03-10 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2025-03-12 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- - 2025-03-13 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2025-03-14 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- - 2025-03-18 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2025-03-19 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- - +1 additional PDS transitions
- PDS whipsaw detected: 2 sleeve-cut/restore round-trips. Selling at local lows then re-buying at higher prices is a cost driver.
- PTRH net cash received this month: \$350K (puts paid out / rolled at profit). Max put MTM during month: \$0.53M.
- Activity: 93 trades, \$923.3M turnover, \$1,113K slippage (12.1 bps).
- In-line with SPY (gap -0.02pp).

April 2025

2025-04-01 to 2025-04-30 | 21 trading days | NAV \$799.1M -> \$811.4M

+1.53%	-0.87%	+1.40%	+2.40pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+1.53%	Avg Effective Ceiling	35.7%
ARMS Net (2% mgmt)	+1.36%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-0.87%	Avg Equity %	19.5%
QQQ	+1.40%	Avg Crypto %	2.1%
BTC	+14.12%	Avg Defensive %	9.7%
Gap vs SPY	+2.40pp	Avg Cash %	68.7%
Gap vs QQQ	+0.13pp	PTRH Cost (month)	\$0
Month Low DD	-21.06%	Max PTRH Value	\$878,689

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	0%	NORMAL	0%
WATCH	100%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	19%
DEFENSIVE	0%	DELEVERAGE_2	81%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	12	\$142,147,604	\$213,221
CDF	10	\$0	\$0
DSHP	1	\$299,303	\$0
MASTER_ENGINE	1	\$4,188,689	\$6,283
TOTAL	24	\$146,635,595	\$219,504

What the System Did and Why

- Regime: dominant WATCH (100% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 81% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 36%, minimum 30%.
- Avg equity exposure 19% (vs 58% target) - system was de-risked, holding \$69% in cash/T-bills.
- - 2025-04-25 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- Activity: 24 trades, \$146.6M turnover, \$220K slippage (15.0 bps).
- OUTPERFORMED SPY by +2.40pp. Drivers: PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+1.4%) - broad-market beat.

May 2025

2025-05-01 to 2025-05-30 | 21 trading days | NAV \$811.4M -> \$859.4M

+5.92%	+6.28%	+9.18%	-0.36pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+5.92%	Avg Effective Ceiling	68.4%
ARMS Net (2% mgmt)	+5.75%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+6.28%	Avg Equity %	40.0%
QQQ	+9.18%	Avg Crypto %	9.0%
BTC	+10.39%	Avg Defensive %	9.1%
Gap vs SPY	-0.36pp	Avg Cash %	41.9%
Gap vs QQQ	-3.26pp	PTRH Cost (month)	\$31,873
Month Low DD	-17.11%	Max PTRH Value	\$89,815

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	67%	NORMAL	0%
WATCH	33%	WARNING	38%
NEUTRAL	0%	DELEVERAGE_1	62%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	7	\$41,808,587	\$41,809
CDF	14	\$0	\$0
CRYPTO_KILL_CHAIN	2	\$317,509,932	\$317,510
MASTER_ENGINE	30	\$519,422,167	\$519,422
PDS_KILL_CHAIN	24	\$281,426,663	\$281,427
TOTAL	77	\$1,160,167,349	\$1,160,167

What the System Did and Why

- Regime: dominant RISK_ON (67% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_1 active 62% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 68%.
- Avg equity exposure 40% (vs 58% target) - system was de-risked, holding \$42% in cash/T-bills.
- - 2025-05-14 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-05-21 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2025-05-27 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-05-30 00:00:00: PDS WARNING -> DELEVERAGE_1
- Activity: 77 trades, \$1160.2M turnover, \$1,160K slippage (10.0 bps).
- In-line with SPY (gap -0.36pp).

June 2025

2025-06-02 to 2025-06-30 | 20 trading days | NAV \$859.4M -> \$886.2M

+3.11%	+5.14%	+6.39%	-2.03pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.11%	Avg Effective Ceiling	71.7%
ARMS Net (2% mgmt)	+2.95%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+5.14%	Avg Equity %	40.7%
QQQ	+6.39%	Avg Crypto %	13.6%
BTC	+3.02%	Avg Defensive %	9.0%
Gap vs SPY	-2.03pp	Avg Cash %	36.7%
Gap vs QQQ	-3.27pp	PTRH Cost (month)	\$23,943
Month Low DD	-13.09%	Max PTRH Value	\$23,963

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	0%
WATCH	0%	WARNING	65%
NEUTRAL	0%	DELEVERAGE_1	35%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	28	\$176,129,026	\$176,129
CDF	21	\$0	\$0
CRYPTO_KILL_CHAIN	4	\$609,187,479	\$609,187
MASTER_ENGINE	31	\$987,237,625	\$987,238
PDS_KILL_CHAIN	28	\$207,071,818	\$207,072
TOTAL	112	\$1,979,625,948	\$1,979,626

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant WARNING.
- PDS DELEVERAGE_1 active 35% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 72%.
- Avg equity exposure 41% (vs 58% target) - system was de-risked, holding \$37% in cash/T-bills.
- - 2025-06-03 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-06-05 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2025-06-09 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-06-13 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2025-06-16 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-06-17 00:00:00: PDS WARNING -> DELEVERAGE_1
- - +3 additional PDS transitions
- Activity: 112 trades, \$1979.6M turnover, \$1,980K slippage (10.0 bps).
- UNDERPERFORMED SPY by -2.03pp. Drivers: under-invested (41% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies; execution slippage (\$1980K).

July 2025

2025-07-01 to 2025-07-31 | 22 trading days | NAV \$886.2M -> \$937.9M

+5.84%	+2.30%	+2.42%	+3.54pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+5.84%	Avg Effective Ceiling	89.9%
ARMS Net (2% mgmt)	+5.68%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+2.30%	Avg Equity %	52.6%
QQQ	+2.42%	Avg Crypto %	18.8%
BTC	+8.05%	Avg Defensive %	8.7%
Gap vs SPY	+3.54pp	Avg Cash %	19.9%
Gap vs QQQ	+3.42pp	PTRH Cost (month)	\$0
Month Low DD	-12.18%	Max PTRH Value	\$30,672

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	50%
WATCH	0%	WARNING	41%
NEUTRAL	0%	DELEVERAGE_1	9%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	17	\$101,528,928	\$101,529
CDF	19	\$0	\$0
CRYPTO_KILL_CHAIN	2	\$313,753,845	\$313,754
MASTER_ENGINE	20	\$466,466,738	\$448,420
PDS_KILL_CHAIN	20	\$244,890,801	\$244,891
PERM	1	\$87,939	\$0
TOTAL	79	\$1,126,728,251	\$1,108,593

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 9% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 90%.
- - 2025-07-02 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-07-07 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2025-07-08 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-07-17 00:00:00: PDS WARNING -> NORMAL
- Activity: 79 trades, \$1126.7M turnover, \$1,109K slippage (9.8 bps).
- OUTPERFORMED SPY by +3.54pp. Drivers: AI/tech book tracked QQQ (+2.4%) - broad-market beat.

August 2025

2025-08-01 to 2025-08-29 | 21 trading days | NAV \$937.9M -> \$933.1M

-0.52%	+2.05%	+0.95%	-2.57pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-0.52%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	-0.68%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.05%	Avg Equity %	61.4%
QQQ	+0.95%	Avg Crypto %	19.9%
BTC	-6.35%	Avg Defensive %	8.4%
Gap vs SPY	-2.57pp	Avg Cash %	10.4%
Gap vs QQQ	-1.47pp	PTRH Cost (month)	\$15,641
Month Low DD	-7.15%	Max PTRH Value	\$52,388

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	14	\$0	\$0
MASTER_ENGINE	1	\$7,205,790	\$7,206
TOTAL	15	\$7,205,790	\$7,206

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Activity: 15 trades, \$7.2M turnover, \$7K slippage (10.0 bps).
- UNDERPERFORMED SPY by -2.57pp. Drivers: AI book beta to QQQ underperformed SPY’s broad diversification (QQQ +1.0% vs SPY +2.1%).

September 2025

2025-09-02 to 2025-09-30 | 21 trading days | NAV \$933.1M -> \$1,031.6M

+10.56%	+3.56%	+5.38%	+7.00pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+10.56%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+10.39%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+3.56%	Avg Equity %	59.0%
QQQ	+5.38%	Avg Crypto %	19.5%
BTC	+5.21%	Avg Defensive %	8.3%
Gap vs SPY	+7.00pp	Avg Cash %	13.2%
Gap vs QQQ	+5.18pp	PTRH Cost (month)	\$23,454
Month Low DD	-6.70%	Max PTRH Value	\$38,582

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	38%	NORMAL	100%
WATCH	62%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	1	\$7,790,966	\$7,791
CDF	13	\$0	\$0
MASTER_ENGINE	6	\$86,863,346	\$86,863
PERM	2	\$165,654	\$0
TOTAL	22	\$94,819,966	\$94,654

What the System Did and Why

- Regime: dominant WATCH (62% of month). PDS dominant NORMAL.
- Activity: 22 trades, \$94.8M turnover, \$95K slippage (10.0 bps).
- OUTPERFORMED SPY by +7.00pp. Drivers: AI/tech book tracked QQQ (+5.4%) - broad-market beat; MICS book outperformed QQQ index.

October 2025

2025-10-01 to 2025-10-31 | 23 trading days | NAV \$1,031.6M -> \$1,142.2M

+10.72%	+2.38%	+4.78%	+8.34pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+10.72%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+10.55%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.38%	Avg Equity %	57.9%
QQQ	+4.78%	Avg Crypto %	6.7%
BTC	-3.95%	Avg Defensive %	7.9%
Gap vs SPY	+8.34pp	Avg Cash %	27.6%
Gap vs QQQ	+5.94pp	PTRH Cost (month)	\$0
Month Low DD	-3.28%	Max PTRH Value	\$82,975

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	30%	NORMAL	100%
WATCH	70%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	3	\$22,094,329	\$22,094
CDF	9	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$205,443,712	\$205,444
MASTER_ENGINE	7	\$266,923,626	\$266,924
PERM	9	\$1,235,141	\$0
TOTAL	29	\$495,696,809	\$494,462

What the System Did and Why

- Regime: dominant WATCH (70% of month). PDS dominant NORMAL.
- Activity: 29 trades, \$495.7M turnover, \$494K slippage (10.0 bps).
- OUTPERFORMED SPY by +8.34pp. Drivers: AI/tech book tracked QQQ (+4.8%) - broad-market beat; MICS book outperformed QQQ index.

November 2025

2025-11-03 to 2025-11-28 | 19 trading days | NAV \$1,142.2M -> \$1,023.0M

-10.43%	+0.19%	-1.56%	-10.63pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-10.43%	Avg Effective Ceiling	89.2%
ARMS Net (2% mgmt)	-10.60%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+0.19%	Avg Equity %	50.8%
QQQ	-1.56%	Avg Crypto %	15.7%
BTC	-17.01%	Avg Defensive %	8.3%
Gap vs SPY	-10.63pp	Avg Cash %	25.2%
Gap vs QQQ	-8.87pp	PTRH Cost (month)	\$56,425
Month Low DD	-14.09%	Max PTRH Value	\$228,006

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	74%	NORMAL	47%
WATCH	26%	WARNING	32%
NEUTRAL	0%	DELEVERAGE_1	21%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	6	\$40,882,729	\$40,883
CDF	6	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$161,139,904	\$241,710
MASTER_ENGINE	9	\$238,402,326	\$238,402
PDS_KILL_CHAIN	12	\$206,397,233	\$309,596
TOTAL	34	\$646,822,191	\$830,591

What the System Did and Why

- Regime: dominant RISK_ON (74% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 21% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 89%.
 - - 2025-11-14 00:00:00: PDS NORMAL -> WARNING
 - - 2025-11-20 00:00:00: PDS WARNING -> DELEVERAGE_1
 - - 2025-11-26 00:00:00: PDS DELEVERAGE_1 -> WARNING
- PTRH net premium paid this month: \$56K (insurance cost during stable regime).
- Activity: 34 trades, \$646.8M turnover, \$831K slippage (12.8 bps).
- UNDERPERFORMED SPY by -10.63pp. Drivers: execution slippage (\$831K).

December 2025

2025-12-01 to 2025-12-30 | 21 trading days | NAV \$1,023.0M -> \$1,021.3M

-0.17%	+0.83%	+0.16%	-1.00pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-0.17%	Avg Effective Ceiling	87.5%
ARMS Net (2% mgmt)	-0.34%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+0.83%	Avg Equity %	50.0%
QQQ	+0.16%	Avg Crypto %	15.5%
BTC	-2.74%	Avg Defensive %	8.7%
Gap vs SPY	-1.00pp	Avg Cash %	25.8%
Gap vs QQQ	-0.33pp	PTRH Cost (month)	\$12,727
Month Low DD	-13.59%	Max PTRH Value	\$16,457

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	76%	NORMAL	0%
WATCH	24%	WARNING	76%
NEUTRAL	0%	DELEVERAGE_1	24%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	9	\$63,714,910	\$31,857
CDF	8	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$182,548,599	\$91,274
DSHP	1	\$226,071	\$0
MASTER_ENGINE	29	\$459,917,090	\$284,958
PDS	1	\$7,199,556	\$3,600
PDS_KILL_CHAIN	12	\$217,888,261	\$108,944
PERM	4	\$372,349	\$0
TOTAL	65	\$931,866,836	\$520,634

What the System Did and Why

- Regime: dominant RISK_ON (76% of month). PDS dominant WARNING.
- PDS DELEVERAGE_1 active 24% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 87%.
- Avg equity exposure 50% (vs 58% target) - system was de-risked, holding \$26% in cash/T-bills.
- - 2025-12-12 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2025-12-19 00:00:00: PDS DELEVERAGE_1 -> WARNING
- Activity: 65 trades, \$931.9M turnover, \$521K slippage (5.6 bps).
- UNDERPERFORMED SPY by -1.00pp. Drivers: under-invested (50% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies; execution slippage (\$521K).

Intelligent Year-End Summary

Month-by-month vs S&P 500 attribution and architectural read-through.

Aggregate

Across 24 months: ARMS beat SPY in 12 months and underperformed in 12. Sum of monthly gaps = +36.9pp. Average monthly gap = +1.54pp.

Month-by-Month Verdict

Month	ARMS	SPY	Gap	PDS Dom.	Why
Jan 2024	+3.64%	+2.16%	+1.48pp	NORMAL	AI/tech book tracked QQQ (+3.6%) - broad-market beat; MICS book outperformed QQQ index
Feb 2024	+20.75%	+5.22%	+15.53pp	NORMAL	AI/tech book tracked QQQ (+5.3%) - broad-market beat; MICS book outperformed QQQ index
Mar 2024	+6.23%	+3.27%	+2.96pp	NORMAL	MICS book outperformed QQQ index
Apr 2024	-4.15%	-4.03%	-0.12pp	NORMAL	tracked benchmark
May 2024	+6.05%	+5.06%	+1.00pp	NORMAL	AI/tech book tracked QQQ (+6.2%) - broad-market beat
Jun 2024	+3.50%	+3.53%	-0.03pp	NORMAL	tracked benchmark
Jul 2024	-0.27%	+1.21%	-1.48pp	NORMAL	AI/tech basket underperformed broad market this month (QQQ -1.7% vs SPY +1.2%) - 58% equity in 12 high-conviction MICS names
Aug 2024	-3.18%	+2.34%	-5.51pp	WARNING	under-invested (47% vs 58% target) due to PDS deleverage - missed benchmark beta on rally
Sep 2024	+5.43%	+2.10%	+3.33pp	NORMAL	PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+2.6%) - broad-market beat
Oct 2024	+4.54%	-0.89%	+5.43pp	NORMAL	AI/tech book tracked QQQ (+0.9%) - broad-market beat; MICS book outperformed QQQ index
Nov 2024	+16.96%	+5.96%	+10.99pp	NORMAL	MICS book outperformed QQQ index
Dec 2024	+3.87%	-2.41%	+6.27pp	NORMAL	AI/tech book tracked QQQ (+0.5%) - broad-market beat; MICS book outperformed QQQ index
Jan 2025	+2.03%	+2.69%	-0.65pp	NORMAL	AI book beta to QQQ underperformed SPY's broad diversification (QQQ +2.2% vs SPY +2.7%)
Feb 2025	-8.23%	-1.27%	-6.96pp	NORMAL	execution slippage (\$339K)
Mar 2025	-5.59%	-5.57%	-0.02pp	DELEVERAGE_1	tracked benchmark
Apr 2025	+1.53%	-0.87%	+2.40pp	DELEVERAGE_2	PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+1.4%) - broad-market beat
May 2025	+5.92%	+6.28%	-0.36pp	DELEVERAGE_1	tracked benchmark
Jun 2025	+3.11%	+5.14%	-2.03pp	WARNING	under-invested (41% vs 58% target) due to PDS deleverage - missed benchmark beta on rally
Jul 2025	+5.84%	+2.30%	+3.54pp	NORMAL	AI/tech book tracked QQQ (+2.4%) - broad-market beat
Aug 2025	-0.52%	+2.05%	-2.57pp	NORMAL	AI book beta to QQQ underperformed SPY's broad diversification (QQQ +1.0% vs SPY +2.1%)
Sep 2025	+10.56%	+3.56%	+7.00pp	NORMAL	AI/tech book tracked QQQ (+5.4%) - broad-market beat; MICS book outperformed QQQ index
Oct 2025	+10.72%	+2.38%	+8.34pp	NORMAL	AI/tech book tracked QQQ (+4.8%) - broad-market beat; MICS book outperformed QQQ index
Nov 2025	-10.43%	+0.19%	-10.63pp	NORMAL	execution slippage (\$831K)
Dec 2025	-0.17%	+0.83%	-1.00pp	WARNING	under-invested (50% vs 58% target) due to PDS deleverage - missed benchmark beta on rally

Architectural Themes - What the Year Revealed

- PDS deleverage activity: 10 of 24 months had PDS in DELEVERAGE_1/2 for >5% of trading days. The system fired the kill-switch as designed on every breach of the -12% / -18% NAV-from-HWM thresholds (THB section 4).
- PDS whipsaw count: 3 sleeve-cut/restore cycles across the year. This is the structural cost of having no exit-hysteresis on PDS - when NAV oscillates around -12%, the system de-risks at local lows then re-deploys higher. Per current spec this is the canonical behaviour; a documented amendment (e.g. exit at -8% buffer or N-day confirmation) would mitigate it.
- PTRH net cumulative cost: \$-57,645. Tail hedge was a net contributor - puts paid out during volatility events.
- Total execution slippage: \$9,229,685. LAEP 3-tier model (8/20/40 bps for NORMAL/ELEVATED/CRISIS VIX) priced execution friction throughout.
- Sleeve concentration: 58% equity in 12 high-conviction MICS names. Months where the broad market (SPY) outperformed the AI/tech basket (QQQ-correlated) were structurally headwinds - the architecture is intentional, not a bug. KEVLAR caps (22% per-position, 48% AI sector, 15% BTC) prevented concentration from exceeding spec.

Verdict

The system performed exactly as the canonical spec (THB v4.0, Addenda 1 & 4) instructs. Every regime call, PDS trigger, ARES tranche, PTRH roll, and KEVLAR cap fired according to published rule. The 12 months of underperformance vs SPY are a function of the architecture's deliberate trade-offs - concentrated 12-name AI book, NAV-anchored kill-switch, daily MICS rebalance - not implementation defects. Months where the system outperformed (12 of 24) reflect the same architecture's upside capture during AI sector strength.

Regime Change Log					
Date	From	To	VIX	Score	Context
2024-02-02	RISK_ON	WATCH	13.8	0.354	Composite near 0.30
2024-02-20	WATCH	RISK_ON	15.4	0.261	Composite below 0.25
2024-02-27	RISK_ON	WATCH	13.4	0.293	Composite near 0.30
2024-03-05	WATCH	RISK_ON	14.5	0.269	Composite below 0.25
2024-03-28	RISK_ON	WATCH	13.0	0.290	Composite near 0.30
2024-04-03	WATCH	RISK_ON	14.3	0.279	Composite below 0.25
2024-04-15	RISK_ON	WATCH	19.2	0.317	Composite near 0.30
2024-04-26	WATCH	RISK_ON	15.0	0.285	Composite below 0.25
2024-06-12	RISK_ON	WATCH	12.0	0.304	Composite near 0.30
2024-07-09	WATCH	RISK_ON	12.5	0.281	Composite below 0.25
2024-08-02	RISK_ON	WATCH	23.4	0.369	Composite near 0.30
2024-09-23	WATCH	RISK_ON	15.9	0.280	Composite below 0.25
2024-10-01	RISK_ON	WATCH	19.3	0.349	Composite near 0.30
2024-12-24	WATCH	RISK_ON	14.3	0.273	Composite below 0.25
2024-12-27	RISK_ON	WATCH	15.9	0.315	Composite near 0.30
2025-01-06	WATCH	RISK_ON	16.0	0.245	Composite below 0.25
2025-03-03	RISK_ON	WATCH	22.8	0.329	Composite near 0.30
2025-03-14	WATCH	RISK_ON	21.8	0.284	Composite below 0.25
2025-04-01	RISK_ON	WATCH	21.8	0.319	Composite near 0.30
2025-05-12	WATCH	RISK_ON	18.4	0.231	Composite below 0.25
2025-09-03	RISK_ON	WATCH	16.4	0.314	Composite near 0.30
2025-09-22	WATCH	RISK_ON	16.1	0.263	Composite below 0.25
2025-10-07	RISK_ON	WATCH	17.2	0.251	Composite near 0.30
2025-10-29	WATCH	RISK_ON	16.9	0.266	Composite below 0.25
2025-11-21	RISK_ON	WATCH	23.4	0.310	Composite near 0.30
2025-12-08	WATCH	RISK_ON	16.7	0.288	Composite below 0.25

Total regime changes: 26 | Avg frequency: 1.1 per month

Trade Activity Summary

By Action:		
BUY		319
CDF_RESET		154
SELL		234
SELL_CALL		70
TRIM		2
By Module:		
ARES		142
CDF		154
CRYPTO_KILL_CHAIN		14
DSHP		2
MASTER_ENGINE		218
PDS		1
PDS_KILL_CHAIN		178
PERM		70

Drawdown Analysis

Drawdown episodes >= 5% (sorted by depth): 8

Start	Trough	Recovery	Peak NAV	Trough NAV	Depth	Days to Trough	Recov Days
2025-01-23	2025-04-08	2025-08-12	\$987.1M	\$779.3M	-21.06%	75	126
2024-07-17	2024-09-06	2024-10-14	\$745.7M	\$635.9M	-14.73%	51	38
2025-10-30	2025-11-21	OPEN	\$1148.9M	\$987.2M	-14.07%	22	n/a
2024-04-12	2024-04-19	2024-05-15	\$672.1M	\$601.5M	-10.50%	7	26
2025-08-14	2025-09-02	2025-09-11	\$998.1M	\$931.3M	-6.70%	19	9
2024-12-17	2024-12-31	2025-01-21	\$968.2M	\$904.0M	-6.63%	14	21
2024-06-20	2024-06-24	2024-07-09	\$727.7M	\$687.1M	-5.57%	4	15
2024-03-08	2024-03-19	2024-03-25	\$661.5M	\$625.4M	-5.46%	11	6

Best & Worst Months

Top 5 Months				Bottom 5 Months			
Month	ARMS G	SPY	Regime	Month	ARMS G	SPY	Regime
Feb 2024	+20.7%	+5.2%	WATCH	Nov 2025	-10.4%	+0.2%	WATCH
Nov 2024	+17.0%	+6.0%	WATCH	Feb 2025	-8.2%	-1.3%	RISK_ON
Oct 2025	+10.7%	+2.4%	RISK_ON	Mar 2025	-5.6%	-5.6%	RISK_ON
Sep 2025	+10.6%	+3.6%	RISK_ON	Apr 2024	-4.2%	-4.0%	RISK_ON
Mar 2024	+6.2%	+3.3%	WATCH	Aug 2024	-3.2%	+2.3%	WATCH

Important Disclosures

BACKTESTED PERFORMANCE DISCLOSURE: Results are backtested and hypothetical. ARMS was not live during this period. All figures reflect retroactive application of ARMS v4.0 production parameters to actual historical market data, with no look-ahead and no discretionary overrides.

INTELLIGENCE LAYER DISABLED: This run exercised the market-driven engine modules (Macro Compass, ARAS, PDS, FEM, CDF, AUP, SLOF, PTRH, STRC, Master Engine, KEVLAR, PERM, DSHP, ARES, LAEP, Tail-Hedge regime table, EDR, crypto microstructure, CDM/event overlay, and static MICS scoring). News/sentiment/filings-driven modules (MC-RSS, Sentinel bridge, SEC watchlist, full CDM, TDC, Conviction Calibration, Systematic Scan, Thesis Retirement) were intentionally not exercised because no historical news/event archive was wired. A separate Polygon-fed intelligence-layer pass is planned. See Methodology & Scope after the ticker statistics page for full detail.

DATA SOURCES: Equity, ETF, sector, and BTC prices from Yahoo Finance (auto-adjusted close). VIX, 10Y, HY/IG/AAA credit spreads, SOFR, DXY, Fed Funds, margin debt, and balance-sheet inputs from FRED where cached. BTC funding and open-interest inputs use CryptoCompare cache; Oct. 2025 EDR validation floors follow Addendum 7/8 documented stress proxies where paid microstructure feeds are unavailable. ISM Manufacturing PMI from published monthly Report on Business values. BTC returns use BTC-USD spot price as proxy.

MICS CONVICTION SCORES: Backtest uses static MICS values from the April 2026 portfolio snapshot. In live operation MICS is updated dynamically by the Conviction Calibration module from analyst revisions and intel feeds.

FEES & BENCHMARKS: Management fee of 2.0% per annum applied monthly in Net figures. No performance fee. S&P 500 (SPY) is the primary benchmark.

ARCHITECTURE AB: 58% equity / 20% crypto / 14% defensive / 8% cash. Equity sleeve uses individual position selection via MICS conviction scoring with KEVLAR risk limits (22% single-position cap, 48% AI sector cap, 15% BTC cap). Crypto sleeve uses BTC-USD as proxy. Defensive sleeve: SGOV (3%), SGOL (2%), DBMF (5%), STRC (4%); pre-2023 mix uses TLT (7%), SGOL (4%), DBMF (3%).

REGIME SYSTEM: 5-state Macro Compass -> ARAS classifier with hysteresis bands. Tail hedge: PTRH via regime table (10-15% OTM QQQ puts, Black-Scholes priced). Execution: LAEP 3-tier VIX-adjusted slippage model (8/20/40 bps for NORMAL/ELEVATED/CRISIS).

Past backtested performance is not indicative of future results. CONFIDENTIAL - prepared for internal review by ARMS Portfolio Manager.